

1. Securities Markets: Primary vs. Secondary Markets

What are Securities Markets?

Securities markets are platforms where buyers and sellers trade financial instruments such as shares, bonds, debentures, and derivatives. They are divided into **Primary** and **Secondary** markets.

Primary Market (New Issue Market)

Feature	Description
Definition	Market where securities are issued for the first time to raise capital
Also known as	New Issue Market (NIM)
Who raises funds	Companies (IPOs), governments (T-bills, bonds)
Who buys	Institutional investors, retail investors, HNIs
Money flow	From investors → directly to issuer (company/government)
Price determination	Fixed price or book building process
Examples	Initial Public Offering (IPO), Follow-on Public Offer (FPO), Rights Issue, Private Placement

Intermediaries in Primary Market:

- Merchant Bankers (Lead Managers)
- Underwriters
- Registrars to the Issue
- Bankers to the Issue
- Depositories (NSDL, CDSL)

Key Terms:

- **IPO (Initial Public Offering):** First time a **private company** sells shares to the public
- **FPO (Follow-on Public Offer):** **Existing listed company** issues more shares
- **Book Building:** Price discovery process where investors bid within a price range
- **Prospectus:** Legal document containing all details about the issue
- **Rights Issue:** Shares offered to existing shareholders at a discounted price
- **Bonus Issue:** Free shares issued to existing shareholders from reserves
- **Private Placement:** Shares sold directly to institutional investors
- **ESOP:** Employee Stock Option Plan – shares offered to employees

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Secondary Market (Stock Exchange)

Feature	Description
Definition	Market where existing securities are traded among investors
Also known as	Aftermarket / Stock Exchange
Who raises funds	No funds go to the company (except in buybacks)
Who transacts	Investors buy/sell among themselves
Money flow	Between investors (buyer → seller)
Price determination	Demand and supply forces
Examples	BSE, NSE, NYSE, London Stock Exchange

Key Functions of Secondary Market:

Function	Explanation
Liquidity	Investors can convert securities into cash easily
Price Discovery	Continuous trading reveals fair market prices
Safe Trading	Regulated environment with transparency
Economic Barometer	Stock indices reflect economic health
Capital Formation	Attracts investors to primary market due to liquidity

Key Terms:

- **Liquidity:** Ease of buying/selling without affecting price
 - **Market Capitalization:** Total value of all listed shares of a company
 - **Bid-Ask Spread:** Difference between buying and selling price
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Comparison Table: Primary vs. Secondary Market

Parameter	Primary Market	Secondary Market
Purpose	Capital raising	Liquidity & price discovery
Securities	Newly issued	Already existing
Seller	Issuer (company)	Investors
Buyer	Investors	Investors
Price	Fixed/book building	Market-driven (demand-supply)
Intermediaries	Underwriters, merchant bankers	Brokers, stock exchanges
Regulation	SEBI (in India)	SEBI + Exchange rules
Money flow	Company → Investor	Investor → Investor

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Relationship Between Primary and Secondary Markets

"A strong secondary market enables a healthy primary market."

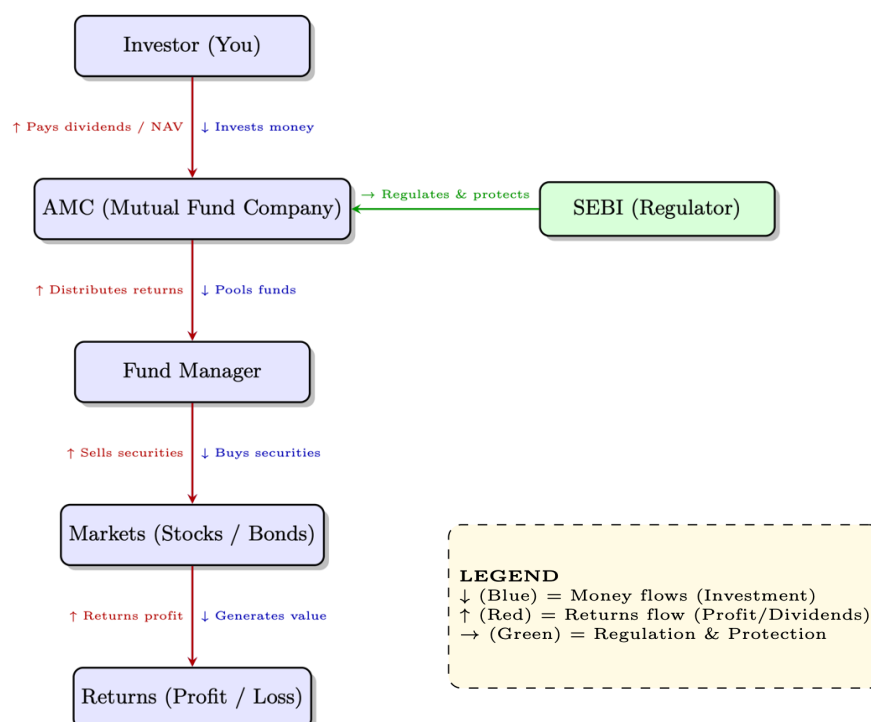
Logic	Explanation
Investors buy in IPOs only if they know they can exit easily in secondary market	Liquidity attracts participation
Secondary market price discovery helps companies decide IPO pricing	Market sentiment matters
Active secondary market signals investor confidence	Encourages more companies to raise funds

2. Mutual Funds

Definition

A **Mutual Fund** is a trust that pools money from many investors and invests it in a diversified portfolio of securities (stocks, bonds, money market instruments, etc.) managed by professional fund managers.

Structure of Mutual Funds in India



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Component	Role
Sponsor	Sets up the mutual fund
Trustee	Protects investor interests
AMC (Asset Management Company)	Manages investments
Custodian	Holds securities safely
RTA (Registrar & Transfer Agent)	Processes transactions
SEBI	Regulator

Types of Mutual Funds

Classification	Types	Description
By Asset Class	Equity Funds	Invest in stocks; high risk, high return
	Debt Funds	Invest in bonds, T-bills; low risk, stable returns
	Hybrid Funds	Mix of equity & debt; balanced risk
	Money Market Funds	Short-term instruments; very low risk
By Structure	Open-ended	Buy/sell anytime at NAV
	Close-ended	Fixed maturity; listed on exchange
	Interval Funds	Combination of open and close-ended
By Objective	Growth Funds	Capital appreciation
	Income Funds	Regular income (dividends)
	Tax-saving (ELSS)	3-year lock-in; tax benefit under 80C
	Sectoral/Thematic	Specific sectors (IT, Pharma, Banking)

Key Terminology

Term	Meaning
NAV (Net Asset Value)	Per-unit value of the fund = (Assets - Liabilities) / Number of units
AUM (Assets Under Management)	Total market value of all investments held by the fund
Expense Ratio	Annual fee charged by AMC as percentage of AUM
Entry Load / Exit Load	Fees for buying or selling units (exit load discouraged by SEBI)
SIP (Systematic Investment Plan)	Regular fixed investment (monthly/quarterly)
SWP (Systematic Withdrawal Plan)	Regular withdrawal from fund

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Advantages of Mutual Funds

Advantage	Explanation
Diversification	Spread risk across multiple securities
Professional Management	Managed by experts
Affordability	Start with as low as ₹500 (SIP)
Liquidity	Open-ended funds offer easy redemption
Regulation	SEBI protects investor interests
Tax Benefits	ELSS funds under Section 80C

Disadvantages

Disadvantage	Explanation
Costs	Expense ratio reduces returns
No Control	Investor cannot choose individual securities
Market Risk	Returns not guaranteed (except debt funds)
Over-diversification	May dilute returns

3. Stock Exchanges

Definition

A **Stock Exchange** is an organized marketplace where securities (shares, bonds, derivatives) are bought and sold under a regulatory framework.

Major Stock Exchanges in India

Exchange	Founded	Location	Key Features
BSE (Bombay Stock Exchange)	1875	Mumbai	Asia's oldest; SENSEX index
NSE (National Stock Exchange)	1992	Mumbai	Largest by volume; NIFTY 50 index

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Functions of Stock Exchanges

Function	Explanation
Provides Liquidity	Easy conversion of securities into cash
Price Discovery	Continuous trading reveals fair prices
Safe Trading	Regulated environment reduces counterparty risk
Capital Formation	Enables companies to raise funds
Economic Indicator	Market indices reflect economic health
Investor Protection	SEBI and exchange rules safeguard investors

Key Indices

Index	Exchange	Number of Companies	Composition
SENSEX	BSE	30	Large-cap, most traded stocks
NIFTY 50	NSE	50	Diversified sectors
NIFTY Bank	NSE	12	Banking stocks

Trading Mechanism



Step	Description
1. Demat Account	Holds securities electronically
2. Trading Account	Enables buy/sell orders
3. Placing Order	Through broker (online/offline)
4. Order Matching	Trading engine matches buy and sell
5. Clearing & Settlement	T+1 settlement in India (T+2 internationally)

Participants in Stock Exchange

Participant	Role
Trading Members (Brokers)	Execute trades on behalf of investors
Clearing Members	Ensure settlement of trades
Depositories (NSDL, CDSL)	Hold securities in demat form
Regulators (SEBI)	Oversee and regulate
Investors	Retail, institutional, foreign

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4. Fintech Innovations

Definition

Fintech (Financial Technology) refers to the use of technology to deliver financial services more efficiently, conveniently, and securely.

Key Fintech Innovations

Innovation	Description	Example
UPI (Unified Payments Interface)	Real-time payment system between bank accounts	Google Pay, PhonePe, Paytm
Digital Wallets	Store money digitally for payments	Paytm Wallet, Amazon Pay
Robo-Advisors	Algorithm-based investment advice	Groww, Kuvera, Smallcase
Peer-to-Peer (P2P) Lending	Direct lending between individuals without banks	Lendbox, Faircent
Crowdfunding	Raising small amounts from many people	Ketto, Milaap
Blockchain & Crypto	Decentralized digital ledger and currencies	Bitcoin, Ethereum (regulated in India with restrictions)
Insurtech	Technology-driven insurance distribution	Acko, PolicyBazaar
Regtech	Technology for regulatory compliance	Compliance automation tools
Neobanks	Digital-only banks without physical branches	Niyo, Jupiter, Fi
Biometric Authentication	Fingerprint, facial recognition for security	Aadhaar-based authentication

Impact of Fintech on Financial Markets

Area	Impact
Accessibility	Banking and investments reach unbanked/rural population
Speed	Real-time transactions (UPI, instant settlement)
Cost Reduction	Lower fees compared to traditional intermediaries
Transparency	Real-time tracking of investments and payments
Personalization	AI-driven recommendations for investors
Financial Inclusion	Jan Dhan-Aadhaar-Mobile (JAM) trinity

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Fintech Regulation in India

Regulator	Role
RBI	Payments, digital lending, wallets, UPI
SEBI	Robo-advisors, investment apps, crowdfunding
IRDAI	Insurtech
MeitY	Data protection, cybersecurity

5. Ethical Practices in Financial Services

Why Ethics Matter in Financial Services

Reason	Explanation
Trust	Financial services run on customer trust
Legal Compliance	Avoiding penalties, bans, and lawsuits
Reputation	Ethical lapses destroy brand value
Investor Protection	Prevents exploitation of retail investors
Market Integrity	Fair markets attract more participants

Common Ethical Issues in Financial Services

Issue	Example	Unethical Practice
Insider Trading	Trading based on unpublished price-sensitive information	Corporate executives selling shares before bad news
Misselling	Selling unsuitable products to customers	Selling ULIP as "safe investment" without disclosing risks
Conflict of Interest	Advising for personal gain	Broker recommending high-commission products
Front Running	Trading ahead of a large client order	Broker buys shares before executing client's buy order
Churning	Excessive trading to generate brokerage	Frequent buy-sell recommendations without benefit to client
Misrepresentation	False or misleading statements	Hiding charges in mutual funds or loans
Money Laundering	Using financial system to hide illegal funds	Structuring deposits to avoid reporting

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Ethical Practices Expected

Practice	Description
Transparency	Clear disclosure of fees, risks, and terms
Fair Dealing	Treating all customers equally, not exploiting vulnerable groups
Confidentiality	Protecting customer data and privacy
Due Diligence	Knowing the customer (KYC) and product suitability
Compliance	Following all regulatory guidelines
Whistleblowing	Reporting unethical practices internally

Regulatory Framework for Ethics

Regulator	Key Ethical Requirements
SEBI (Prohibition of Insider Trading) Regulations	Prevents insider trading
SEBI (Investment Advisers) Regulations	Advisers must act in client's best interest
RBI KYC/AML Guidelines	Prevents money laundering and terrorist financing
Companies Act, 2013	Requires whistleblower mechanism
Data Protection Laws	Protects customer financial data

Case Examples (India)

Scandal	Ethical Violation	Consequence
NSEL Payment Crisis (2013)	Lack of transparency, regulatory violation	₹5,600 crore investor loss
IL&FS Default (2018)	Corporate governance failure, misrepresentation	₹91,000 crore crisis
Karvy Stock Broking (2019)	Misuse of client securities, pledging shares illegally	SEBI ban, criminal proceedings

Best Practices for Ethical Conduct

For Individuals	For Institutions
Never trade on inside information	Implement strong internal controls
Disclose conflicts of interest	Regular ethics training for employees
Read documents before signing	Establish whistleblower policy
Report unethical practices	Conduct independent audits
Verify advisor credentials	Comply with "Client First" principle

Case Study 1: Primary vs. Secondary Markets

Title: TechNova's IPO Journey

Scenario

TechNova Solutions, a 10-year-old profitable software company, decides to go public. The company wants to raise ₹500 crore to fund expansion. They hire investment bankers who set a price band of ₹450–₹500 per share through book building. The IPO is oversubscribed 8 times. Shares are allotted and listed on NSE and BSE at ₹550 per share – a 10% listing gain.

Six months later, a retail investor buys 100 shares of TechNova from another investor on the NSE at ₹620 per share.

Questions

1. In which market did TechNova raise its ₹500 crore? Explain.
2. What is the difference between the price band (₹450–₹500) and the listing price (₹550)? What does this indicate?
3. When the retail investor bought shares at ₹620 on NSE, which market was this transaction happening in? Where did the money go?
4. Why is a strong secondary market important for the success of TechNova's IPO?

Suggested Answers

Question	Answer
Q1	Primary market. The company issued new shares and received the funds directly from investors.
Q2	The listing price (₹550) was above the upper price band (₹500), indicating strong demand . This is called "listing gain" or "IPO pop."
Q3	Secondary market. The money went to the selling investor , not to TechNova.
Q4	Investors will only buy IPOs if they know they can exit easily in the secondary market. A liquid secondary market gives investors' confidence, which helps companies raise funds in the primary market.

Case Study 2: Mutual Funds

Title: Two Investors, Two Strategies

Scenario

Ramesh (age 55) and Priya (age 28) both want to invest ₹5,000 per month.

- **Ramesh** wants safety of capital and regular monthly income. He cannot take much risk because he plans to retire in 5 years.
- **Priya** wants to build wealth for her retirement 30 years from now. She can take higher risk for potentially higher returns.

Their financial advisor suggests:

- For Ramesh: A **Debt Mutual Fund** (e.g., Short Duration Fund)
- For Priya: An **Equity Mutual Fund** (e.g., Mid-Cap Fund)

After 2 years, the debt fund gave Ramesh 7% annual returns, while the equity fund gave Priya 15% annual returns. However, in the 3rd year, the equity fund fell by 10% due to a market crash, while the debt fund remained stable.

Questions

1. Why did the advisor recommend different funds to Ramesh and Priya?
2. What is the trade-off between debt funds and equity funds?
3. Priya's fund fell by 10% in one year. Should she sell her units? Why or why not?
4. If Ramesh had invested in Priya's equity fund instead, what could have gone wrong?

Suggested Answers

Question	Answer
Q1	Because of different risk profiles , investment horizons , and goals . Ramesh needs capital protection and income; Priya needs long-term growth.
Q2	Equity funds: higher potential returns but higher risk (volatility). Debt funds: lower returns but stable, predictable income.
Q3	She should not sell if her goal is long-term (30 years). Market downturns are temporary. Selling locks in losses.
Q4	If the market crashed just before Ramesh's retirement, his portfolio value would drop significantly. He would have no time to recover his losses. This is called "sequence of returns risk."

Case Study 3: Stock Exchanges

Title: A Day of Trading

Scenario

On Monday morning, Mr. Sharma placed the following orders through his broker's trading app:

Order	Company	Action	Quantity	Price (₹)
1	ABC Ltd.	Buy	100	500 (limit)
2	XYZ Ltd.	Sell	50	300 (market)
3	PQR Ltd.	Buy	200	250 (limit)

The market opened at 9:15 AM. His order for ABC Ltd. got executed at ₹500 at 10:30 AM. The XYZ sell order executed immediately at ₹299 (best available price). The PQR order remained pending all day because the price never fell to ₹250.

Questions

1. What is the difference between a **limit order** and a **market order**? Which one did Mr. Sharma use for XYZ Ltd.?
2. Why did the PQR order not get executed?
3. If Mr. Sharma had placed an order to buy 500 shares of ABC Ltd. at ₹500, but only 300 shares were available at that price, what would happen?
4. What role did the **stock exchange's trading engine** play in this scenario?

Suggested Answers

Question	Answer
Q1	Limit order executes only at the specified price or better. Market order executes immediately at the best available price. XYZ was a market order (executed at ₹299).
Q2	Because it was a limit order at ₹250, but the market price of PQR never fell to ₹250. The order stays pending (in the order book) until executed or cancelled.
Q3	He would get 300 shares at ₹500 , and the remaining 200 shares would remain pending (partial execution). This is common for less liquid stocks.

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Q4	The trading engine matched buy and sell orders continuously. For ABC Ltd., it matched Mr. Sharma's buy with a seller at ₹500. For XYZ, it found the best available buyer at ₹299. For PQR, it found no seller willing to sell at ₹250.
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Case Study 4: Fintech Innovations

Title: Fintech in a Rural Village

Scenario

Village Khurdi in Maharashtra has no bank branch within 15 kilometers. Most villagers are farmers with small bank accounts opened under the Pradhan Mantri Jan Dhan Yojana (PMJDY). They previously had to travel 2 hours to deposit cash, pay bills, or send money to family in cities.

In 2020, a local shopkeeper became a **BC (Business Correspondent)** and enabled:

- **UPI payments** through a smartphone
- **Aadhaar-enabled Payment System (AePS)** for cash deposits/withdrawals using fingerprint
- **Digital wallets** for small value transactions
- **Micro-investments** in mutual funds through an app (Groww)

Now, farmers can:

- Receive government subsidy directly in bank accounts (DBT)
- Pay electricity bills at the shop
- Send money instantly to children studying in Pune
- Invest ₹500 per month in a mutual fund SIP

Questions

1. Which fintech innovations enabled banking services in Khurdi without a physical bank branch?
2. How does UPI help villagers send money to their children in cities?
3. What is AePS, and why is it important for villagers who cannot read or write?
4. How does fintech contribute to **financial inclusion** in this scenario?

Suggested Answers

Question	Answer
Q1	UPI, AePS, digital wallets, BC model, and investment apps (Groww).
Q2	UPI allows instant money transfer using just the recipient's mobile number or UPI ID . No need for bank account details or physical visit.
Q3	AePS allows biometric authentication (fingerprint) for banking transactions. Illiterate users can withdraw/deposit cash without filling forms or remembering passwords.
Q4	Fintech reduces cost, distance, and complexity . Villagers now have access to banking, payments, investments, and government benefits without traveling 2 hours. This is financial inclusion in action.

Case Study 5: Ethical Practices in Financial Services

Title: The Unethical Broker

Scenario

Mr. Mehta is a stockbroker with a large client base of retail investors. His clients trust him completely. Over six months, Mr. Mehta engaged in the following activities:

Activity	Details
Churning	He recommended frequent buying and selling to generate brokerage. One client's portfolio had 40 trades in 3 months, but the client had asked for "long-term investment."
Insider Trading	He learned from his friend (an employee at a listed company) that quarterly results would be very poor. Mr. Mehta sold all his holdings in that company before the results were announced.
Misselling	He sold a high-commission ULIP (Unit Linked Insurance Plan) to a retired teacher, describing it as a "safe fixed deposit-like product." He did not mention the high charges or market risk.
Front Running	When a large client placed an order to buy 10,000 shares of a small company, Mr. Mehta bought 1,000 shares for his own account first, then executed the client's order, pushing the price up. He then sold his shares at a profit.

Questions

1. Identify each unethical practice and explain why it is wrong.
2. Which regulatory body in India would take action against Mr. Mehta?
3. What should the retired teacher do after discovering she was missold the ULIP?
4. What is the difference between churning and active portfolio management?

Suggested Answers

Question	Answer
Q1 – Churning	Excessive trading for brokerage, not for client benefit. Violates "client's best interest" principle.
Q1 – Insider Trading	Trading based on unpublished price-sensitive information. Illegal under SEBI (PIT) Regulations.

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Q1 – Misselling	Selling unsuitable product (risky ULIP) to a retired person as "safe FD." Hides risks and charges.
Q1 – Front Running	Buying for self before executing large client order. Unfair and illegal.
Q2	SEBI (Securities and Exchange Board of India) regulates brokers and can suspend/ban Mr. Mehta, impose fines, or initiate prosecution.
Q3	She can file a complaint with SEBI SCORES portal, approach the Insurance Ombudsman (since ULIP has insurance component), or seek arbitration.
Q4	Churning is unnecessary, excessive trading for broker's benefit. Active management is legitimate, research-based trading for client's benefit with reasonable frequency.

Case Study 6: Combination – Market Crash and Ethical Dilemma

Title: The Fund Manager's Choice

Scenario

Rohit is a mutual fund manager for a mid-cap equity fund with AUM of ₹2,000 crore. The market has fallen 15% in one month. Rohit knows that:

- Some stocks in his portfolio are fundamentally strong but have fallen due to "market panic."
- Some stocks were overvalued and deserved to fall.
- A large institutional investor (HNI) wants to redeem ₹200 crore immediately.

Rohit has two options:

Option	Action
Option A (Ethical)	Sell the weaker, overvalued stocks first to meet redemption, even if it means the fund's short-term performance looks worse.
Option B (Unethical)	Sell the fundamentally strong stocks (which have fallen less) to meet redemption, making the fund's performance look better in the short term, but hurting remaining investors.

The HNI redeeming ₹200 crore is a personal friend of Rohit's boss.

Questions

1. Which option is ethical and why?
2. Which stakeholders are affected by Rohit's decision?
3. What regulatory principle (SEBI) applies to this situation?
4. If Rohit chooses Option B, what could be the consequences?

Suggested Answers

Question	Answer
Q1	Option A is ethical. Fund managers must treat all investors fairly (not favoring large HNIs over small investors). Selling weaker stocks first is the honest approach.
Q2	Stakeholders: Existing investors (small and large), the redeeming HNI, Rohit's reputation, the AMC's brand, SEBI regulators.

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Q3	SEBI's MF Regulations require fund managers to act in the best interest of all unitholders and to ensure equitable treatment . Favoring one investor over others violates this.
Q4	Consequences: If discovered (through audits or complaints), Rohit could be banned by SEBI , the AMC could be fined, and investor trust would be lost. In the long term, the fund would underperform because it sold strong stocks.
